

worthless — claims backed up by convincing research. Sino-Forest fell 89 percent after Block's report. Even a few famous superstar investors had got hung up on that one. John Paulson — the man who made over \$1 billion personally after smoking out fraud in the subprime market in 2007 — lost \$700 million in Sino-Forest.

So, Block is a super sleuth. When his reports come out, the targeted company's share price crumbles. He keeps the bad guys up at night.

Well, Block thinks we live in an "age of venality." There is an unprecedented willingness to do dishonest things in return for money.

"Greed and short-term thinking are more prevalent than they've ever been," Block said. It's hard to prove that. But when markets are high, there is no question that's when the shysters like to come out and pick the pockets of complacent investors.

Block's presentation was all about the ways in which the system works against investors. Let's go through them.

On Management

"The first element that tilts the odd [sic] against investors is management," Block said. There are good and bad management teams, of course. But to generalize: Block said incentives are often short-term. They encourage risky betting.

And the CEOs themselves are largely charismatic. "That's how you get to lead an organization," Block said. "It's easy to fall for their charm."

He reminded us that Andrew Fastow, the CEO of Enron before it went under, won *CFO Magazine's* "Award for Excellence in 1999." Enron, as you know, was a huge fraud.

Block says the more success and awards and public adulation a CEO earns, the less likely they are to own up to mistakes. Fastow himself has said as much. And Fastow quoted *Moby Dick* — "which he read while he was in prison"—to that effect. (See top quote.)

"Other people around the CEO can be expected to protect senior management," Block said. This makes deceptions harder to detect.

How can you deal with it?

Block had a good suggestion. "Management is better seen than heard." First, do your work, and only then, talk with management. "If I